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## DOCUMENT 5: AI ACT - PENALTIES AND ENFORCEMENT

Regulation (EU) 2024/1689 - Articles 99 to 101

Applicable from: August 2026

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### ARTICLE 99 - PENALTIES FOR OPERATORS

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The AI Act establishes a three-tier penalty structure based on severity of the violation.

#### TIER 1 - MAXIMUM PENALTIES: PROHIBITED PRACTICES

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Violation: Non-compliance with the prohibition of AI practices under Article 5

Fine: Up to EUR 35,000,000

OR

Up to 7% of total worldwide annual turnover of the preceding financial year,  
WHICHEVER IS HIGHER.

Applies to:

- Deploying any AI system listed as prohibited (Article 5)
- Using subliminal manipulation techniques
- Social scoring by public authorities
- Real-time biometric identification in public spaces without authorisation
- Biometric categorisation inferring sensitive attributes
- Emotion recognition in workplace/education without authorisation

#### TIER 2 - STANDARD PENALTIES: OTHER VIOLATIONS

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Violation: Non-compliance with any other obligation in the AI Act  
(high-risk obligations, transparency, general-purpose AI rules, etc.)

Fine: Up to EUR 15,000,000

OR

Up to 3% of total worldwide annual turnover of the preceding financial year,  
WHICHEVER IS HIGHER.

Applies to:

- Failure to implement risk management system (Article 9)
- Failure to apply data governance (Article 10)
- Missing or incomplete technical documentation (Article 11)
- Failure to maintain logs (Article 12)
- Inadequate transparency to deployers (Article 13)
- Insufficient human oversight measures (Article 14)
- Inadequate accuracy, robustness, cybersecurity (Article 15)
- Violations of transparency obligations for chatbots, deepfakes (Art. 50/52)
- Failure to register in EU database (Article 49)

TIER 3 - REDUCED PENALTIES: FALSE OR MISLEADING INFORMATION

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Violation: Supplying incorrect, incomplete, or misleading information to  
notified bodies or national competent authorities

Fine: Up to EUR 7,500,000

OR

Up to 1% of total worldwide annual turnover of the preceding financial year,  
WHICHEVER IS HIGHER.

SPECIAL PROVISION FOR SMEs AND STARTUPS:

For small and medium enterprises (SMEs), including startups:

- The fine is the LOWER amount (not the higher of the two thresholds)
- National authorities must take into account the economic viability and interests of SMEs when determining the fine
- Penalties must be effective, proportionate, and dissuasive

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#### ARTICLE 100 - PENALTIES ON GENERAL-PURPOSE AI MODEL PROVIDERS

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Violation: Non-compliance with obligations specific to general-purpose AI model providers (Chapter V of the AI Act)

Fine: Up to EUR 15,000,000

OR

Up to 3% of total worldwide annual turnover of the preceding financial year,  
WHICHEVER IS HIGHER.

Applies to:

- Failure to provide technical documentation to the AI Office
- Failure to register in the EU database
- Failure to comply with copyright obligations
- Failure to publish transparency summary
- Non-compliance with systemic risk obligations (for very powerful models)

For GENERAL-PURPOSE AI MODELS WITH SYSTEMIC RISK:

Additional obligations apply, with stricter supervision by the European AI Office.

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#### ARTICLE 101 - PENALTIES ON UNION INSTITUTIONS, BODIES AND AGENCIES

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When EU institutions, bodies, offices or agencies act as providers or deployers of high-risk AI systems, the European Data Protection Supervisor (EDPS) is empowered to impose administrative fines.

Fine range: up to EUR 1,500,000

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## FACTORS CONSIDERED WHEN SETTING PENALTY AMOUNTS

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National competent authorities must consider:

1. Nature, gravity, and duration of the infringement
2. Whether the infringement was intentional or negligent
3. Actions taken to mitigate damage
4. Degree of responsibility of the operator
5. Repeated infringements by the same operator
6. Degree of cooperation with the authority
7. Any relevant previous infringements
8. Financial benefits gained or losses avoided
9. Size and market share of the operator
10. Any other aggravating or mitigating factor

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## ENFORCEMENT STRUCTURE

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### NATIONAL COMPETENT AUTHORITIES (NCA)

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ROLE:

- Each EU Member State must designate at least one NCA

- Responsible for supervising and enforcing the AI Act
- Can conduct market surveillance of AI systems placed on the EU market
- Can request access to training data, source code, and documentation
- Can impose administrative fines and corrective measures

#### POWERS:

- Order providers/deployers to correct non-compliant AI systems
- Withdraw or recall non-compliant AI systems from the market
- Prohibit or restrict use of non-compliant AI systems
- Impose fines (Articles 99-101)
- Conduct on-site inspections
- Request documentary evidence

#### NOTIFIED BODIES:

- Accredited third-party conformity assessment bodies
- Conduct mandatory third-party assessments for certain high-risk systems
- Issue certificates of conformity
- Report non-conformities to national authorities

#### MARKET SURVEILLANCE AUTHORITIES:

- Oversee AI systems already on the market
- Can initiate investigations based on complaints or own initiative
- Cooperate with customs authorities for imported AI systems

#### EUROPEAN AI OFFICE

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ESTABLISHMENT: Created within the European Commission

#### MANDATE:

- Oversee and enforce rules for general-purpose AI models (GPAI)
- Coordinate with national authorities

- Maintain EU database of high-risk AI systems
- Facilitate development of codes of practice
- Conduct scientific and technical research on AI risks
- Support the European AI Board

#### POWERS SPECIFIC TO GENERAL-PURPOSE AI:

- Request documentation and information from GPAI providers
- Conduct evaluations of systemic risks
- Issue warnings and recommendations
- Impose fines on GPAI providers (Article 100)
- Cooperate with international bodies

#### EUROPEAN AI BOARD

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COMPOSITION: Representatives of national supervisory authorities +  
European Data Protection Supervisor

#### ROLE:

- Advise and assist the Commission and Member States
- Promote consistent enforcement across EU
- Issue opinions, recommendations, and guidance
- Facilitate information exchange between Member States
- Issue guidelines on implementation of the regulation

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#### COMPLAINT AND REDRESS MECHANISMS

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#### RIGHT TO COMPLAIN:

- Any natural or legal person may lodge a complaint with a national authority
- Authorities must process complaints within a reasonable timeframe

- Complainants must receive a response

RIGHT TO EXPLANATION:

- Persons subject to decisions made with AI assistance have the right to obtain an explanation from the deployer about the role of the AI system

JUDICIAL REMEDIES:

- Affected persons have the right to effective judicial remedy against decisions of national authorities
- No prejudice to existing GDPR rights and remedies

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SUMMARY TABLE - PENALTY STRUCTURE

| Violation Type               | Max Fine (EUR) | Max % of Turnover |  |
|------------------------------|----------------|-------------------|--|
| -----                        | -----          | -----             |  |
| Prohibited practices (Art.5) | 35,000,000     | 7%                |  |
| Other obligations            | 15,000,000     | 3%                |  |
| GPAI obligations             | 15,000,000     | 3%                |  |
| False information            | 7,500,000      | 1%                |  |
| EU institutions (EDPS)       | 1,500,000      | N/A               |  |

Note: For operators, the HIGHER of the two thresholds applies.

For SMEs, the LOWER of the two thresholds applies.

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Source: Regulation (EU) 2024/1689 of the European Parliament and of the Council of 13 June 2024. OJ L, 2024/1689, 12.7.2024.

ELI: <http://data.europa.eu/eli/reg/2024/1689/oj>

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